Preparer Review Memo: 2024 Form 1040, Robert (Bob) and Lisa Marie Smith

To: Senior Accountant (reviewer) | From: Mid-level Tax Preparer | Date: November 11, 2026 | Status: DRAFT, not for transmission until reviewed

Companion file: Smith_2024_Form1040_Package.pdf (Form 1040 with Schedules 1, 2, 3, B, D; Forms 8949, 2441, 8812, 8959, 8960, 8995; Form 8879 summary). The package is a preparer rendering of the IRS forms with the figures and line references used for this return. Before e-file, key these figures into IRS-approved software and check them against the current official form instructions.

1. Return Summary

Item	Amount ($)	Comment
Filing status	MFJ	Both spouses; neither lived apart in last 6 months
Total income (Form 1040 line 9)	364,652.52	Wages, interest, dividends, net capital gain
Adjusted gross income (line 11)	364,352.52	After $300 educator deduction
Standard deduction (line 12)	29,200.00	Itemized total $28,727.01 is lower
Taxable income (line 15)	335,109.56	After QBI deduction $42.96
Tax before credits (line 16)	63,695.99	Qualified Dividends and Capital Gain Tax Worksheet
Total credits (lines 19 and 20)	6,539.05	CTC $6,000; CDCC $328; foreign tax credit $211.05
Other taxes (line 23)	2,231.93	Additional Medicare Tax $930.68; NIIT $1,301.25
Total tax (line 24)	59,388.87	
Payments (line 33)	43,191.97	W-2 withholding $25,394.28; estimates $13,685.00; excess SS $4,112.69
Refund (line 35a)	0.00	None
Amount you owe (line 37)	16,196.90	Before any late-filing penalty, late-payment penalty, interest or Form 2210 penalty

2. Forms Included and Forms Considered but Not Required

Included in e-file package	Reason
Form 1040 (2 pages)	Required return
Schedule 1	Educator expense adjustment ($300)
Schedule 2	Additional Medicare Tax (Form 8959) and NIIT (Form 8960)
Schedule 3	Child and dependent care credit, foreign tax credit, excess Social Security tax
Schedule B	Ordinary dividends of $6,744.05 exceed the $1,500 threshold
Schedule D and Form 8949	1099-B sales by Bob (short-term) and Lisa (long-term)
Form 2441	Child and dependent care credit for two qualifying children
Schedule 8812	Child tax credit for three qualifying children
Form 8959 and Form 8960	Medicare wages and net investment income exceed the $250,000 MFJ thresholds
Form 8995 (simplified)	Section 199A REIT dividends ($214.79); taxable income below the $383,900 MFJ threshold
Form 8879 (summary page)	IRS e-file authorization; retained by the firm, not transmitted

Considered, not filed	Reason
Schedule A (itemized)	Itemized total $28,727.01 is below the $29,200 standard deduction
Form 6251 (AMT)	Tentative minimum tax $56,632.72 is below regular tax $63,695.99
Form 1116 (foreign tax credit)	Foreign tax $211.05 is within the $600 MFJ de minimis limit for passive 1099 income
Form 8962 (premium credit)	No marketplace coverage per intake
Form 2210 (underpayment penalty)	Not computed; the 2023 tax needed for the safe-harbor test was not provided (see item M1)
Form 4868 (extension)	None in the file, and the due date has passed (see item H1)
Schedule SE / Schedule C / Form 8889	No business, self-employment or HSA activity reported
Form 8863 (education credits)	Intake: no college attendance

3. Items Requiring Senior Review (priority order)

#	Issue and what the documents show	Treatment on return	Action needed
H1	Timeliness and e-file. The TY2024 original due date was April 15, 2025. No extension is in the file, although the intake answers 'Yes' to being current. Sources disagree on whether the IRS still accepts TY2024 e-files in November 2026; MeF commonly shuts down for the year in mid-November.	Return prepared as if filed now. Failure-to-file penalty could reach 22.5% of the net tax due (roughly $4,500 on about $20,300, an estimate), plus failure-to-pay penalty and interest.	Pull IRS account and wage-and-income transcripts. Confirm whether a 2024 return was ever filed. Confirm e-file acceptance, or paper-file with the payment.
H2	Lisa 401(k) excess deferral. Box 12a shows $26,406.43. The 2024 elective deferral limit is $23,000, and Lisa is 47 (no catch-up), so $3,406.43 is excess. The code letter is not legible on the scan (D or E).	$3,406.43 added to wages on line 1a (excess deferrals are taxable in the year deferred). Tax effect of this add-back is $817.55.	Ask the plan administrator whether the excess was refunded by April 15, 2025, and whether a corrected W-2c was issued. Confirm the box 12a code.
H3	Bob 1099-B (short-term, 11 shares). Proceeds are $56.78 and cost basis is $6,750.88, a $6,694.10 loss. Proceeds this low for 11 shares are unusual.	Reported as shown: loss $6,694.10 on Form 8949 Part I, Box A. If the two amounts were transposed, tax rises by about $2,517.	Obtain the broker's year-end statement and confirm the proceeds and basis columns.
H4	Lisa 1099-B (long-term, 18 shares). Box 1g shows a wash-sale loss disallowed of $468.41 on a sale that produced a gain. Wash-sale adjustments normally apply to losses.	Code W adjustment of $468.41 entered in column (g); gain $33,077.44. Tax effect of this adjustment is $88.06.	Confirm with the broker and check for purchases within 30 days of the August 25, 2024 sale.
M1	Estimated tax penalty (Form 2210). Payments are withholding $25,394.28 plus estimates $13,685.00 (which includes the 1/5/2025 installment). This is below the 90% current-year requirement (about $53,450). The safe-harbor test needs 2023 tax, which was not provided.	Line 38 left at $0 pending review. The IRS will compute any penalty on assessment.	Obtain the 2023 return (AGI exceeds $150,000, so 110% applies). Complete Form 2210 if no safe harbor is met.
M2	Excess Social Security tax. Bob had two W-2s (EINs 12-1234567 and 12-1234568). Combined SS tax $14,565.89 exceeds the 2024 maximum of $10,453.20 by $4,112.69.	Schedule 3 line 11 and Form 1040 line 31.	Verify SS tax and wages on both W-2s against the originals.
M3	Itemizing test. Mortgage interest $17,678.69 + property tax $6,748.32 + cash gift $2,500 + church $1,800 = $28,727.01. LTC premiums of $5,500 each are capped at $880 each (age 41 to 50 for 2024), and the 7.5% floor of $27,326.44 eliminates the medical deduction.	Standard deduction $29,200 used. Itemizing would not win even if all gifts were fully substantiated.	Re-test if the property tax or gift amounts change. Red Cross gift of $2,500 needs a written acknowledgment (not in file). Church giving ($150 monthly) needs bank or receipt support.
M4	Child and dependent care. Children First Child Care Center (EIN 45-4564564) was paid $2,240 in 2024. Robert III and Melissa (age 6) qualify. Judith (DOB 6/9/2010, age 14) does not, because she was 13 or older.	Qualifying expenses $1,640 x 20% = $328 (Schedule 3 line 2). W-2 box 10 is blank on all three W-2s.	Confirm the provider's EIN and address on the provider statement.
M5	Dependents. Robert Smith III (DOB 4/7/2018), Melissa Smith (DOB 4/7/2018, same date) and Judith Smith (DOB 6/9/2010) are all under 17 at year end.	Child tax credit $6,000 (Schedule 8812). No credit for other dependents. AGI is below the $400,000 MFJ phase-out start.	Verify SSNs against Social Security cards and confirm the twins' birth date. Confirm all three lived with the clients for all of 2024.
M6	Student loan interest. Lisa's Form 1098-E shows $4,312. The intake marks this as a deduction.	Not deducted. MAGI of $364,352.52 is above the 2024 MFJ phase-out end ($195,000), so the deduction is $0.	Explain to clients why the deduction is unavailable.
M7	Educator expenses. Lisa reports about $730 spent on classroom items. She is a middle-school teacher.	Schedule 1 line 11 limited to $300 per eligible educator. Bob is not an educator.	Confirm Lisa worked at least 900 hours and retain receipts for the $730.
M8	Foreign tax. The Yellow Rose Bank 1099-DIV shows foreign tax paid of $211.05 with source 'Various'. The intake says no foreign income and no foreign accounts.	Foreign tax credit taken on Schedule 3 line 1 under the de minimis exception. Schedule B Part III answered 'No'.	Confirm no foreign accounts or foreign income. If not, Form 1116 may be needed.
M9	Net investment income tax and Additional Medicare Tax. MAGI above $250,000 and Medicare wages of $353,409.04. Neither is withheld by employers.	Schedule 2 line 11 $930.68 and line 12 $1,301.25.	Confirm no other investment income exists (for example, rental or K-1).

L1	Mortgage. Form 1098 shows interest $17,678.69, origination 5/6/2020 and principal $565,774.05. Property tax of $6,748.32 appears in box 10 ('RE TAXES'), which is not a standard 1098 box.	Within the $750,000 acquisition-debt limit. Property tax is used only in the itemizing test.	Obtain the Bexar County tax statement or escrow statement.
L2	Bob 1099-INT from TX Lending Company ($107.88). The payer TIN matches the mortgage lender's TIN.	Reported as taxable interest on Schedule B.	Confirm the nature of the payment (for example, escrow or account interest).
L3	Lisa W-2 box 12b (code DD, $57,342.01) is employer health coverage cost, which is informational only.	Not taxable; no entry on return.	None.
L4	Taxpayer name and address details. The LTC letter shows ZIP 78523; the W-2s and intake show 78253. Judith's name is 'JUDITHSMITH' in the intake.	Used 78253 and 'Judith Smith'.	Confirm names match SSA records before e-file.

4. Sensitivity of Key Open Items (computed on the same model)

Scenario	AGI	Tax (line 24)	Balance due (line 37)	Change in tax
As prepared	364,352.52	59,388.87	16,196.90	-
H2: no excess deferral add-back	360,946.09	58,571.32	15,379.35	(817.55)
H4: no wash-sale adjustment	363,884.11	59,300.81	16,108.84	(88.06)
H3: Bob 1099-B amounts transposed	377,740.72	61,905.85	18,713.88	2,516.98

5. Documents Received and How the Figures Were Verified

Document	Figures used	Verification
W-2, Bob (Company X, EIN 12-1234567)	Box 1 $132,465.05; box 2 $9,642.23; box 4 $8,212.83; box 6 $1,920.74	OCR at 500 dpi; SS tax = 6.2% of box 3; Medicare = 1.45% of box 5
W-2, Bob (Zixbo Services, EIN 12-1234568)	Box 1 $102,468.69; box 2 $7,465.85; box 4 $6,353.06; box 6 $1,485.80	OCR at 500 dpi; tax ties to rates
W-2, Lisa (Compress Middle School)	Box 1 $92,068.87; box 2 $8,286.20; box 3 $118,475.30; 12a $26,406.43; 12b DD $57,342.01	Box 1 = box 3 less box 12a (ties to the cent)
1099-INT, Bob (Yellow Rose Bank)	$39.99	OCR and text layer
1099-INT, Bob (TX Lending Company)	$107.88	OCR at 500 dpi
1099-INT, Lisa (Yellow Rose Bank)	$968.22	OCR at 300 dpi and 500 dpi
1099-DIV, Lisa (Yellow Rose Bank)	Box 1a $6,744.05; box 1b $4,897.86; box 5 $214.79; box 7 $211.05	Text layer
1099-B, Bob (L&R Investment Advisors)	Proceeds $56.78; cost $6,750.88; short-term (3/8/24 to 7/6/24)	OCR at 300 dpi; see H3
1099-B, Lisa (Retro Investing Company)	Proceeds $43,877.03; cost $11,268.00; wash sale $468.41; long-term (4/8/19 to 8/25/24)	OCR at 300 dpi; see H4
Form 1098, mortgage (TX Lending Company)	Interest $17,678.69; origination 5/6/2020; principal $565,774.05; property tax $6,748.32	OCR at 500 dpi
Form 1098-E, student loan (Lisa)	Interest $4,312	OCR; not deductible (see M6)
Childcare statement (Children First)	Total $2,240; Robert $820; Melissa $820; Judith $600	Monthly schedule re-footed to total
LTC premium letter (Texas Insurance Co.)	$5,500 each, paid 12/21/2024	Text; limit per age table
Estimated tax schedule	$3,380 (4/2/24); $3,275 (7/4/24); $3,455 (10/2/24); $3,575 (1/5/25)	Total $13,685 re-footed
Intake questionnaire	Filing status, dependents, gifts ($2,500 Red Cross; $150 monthly church), classroom $730, LTC purchase, sales of assets, estimated payments	Answers used as stated

6. Assumptions Made

(a) Filing status is married filing jointly. (b) The presidential campaign designation is not used by either spouse. (c) Basis was reported to the IRS on both 1099-Bs (Box A and Box D). (d) Both spouses are U.S. citizens; no digital-asset activity. (e) No refund; direct deposit not requested. (f) The clients' Texas residence has no state income tax, so there is no state deduction. (g) Lisa's $730 classroom expenses are unreimbursed. (h) Children lived with the clients all year and provided less than half of their own support. (i) No Form 1098-T, 1099-R or 1099-G was received.

7. Client Requests Before Filing

1) IRS transcripts for 2023 and 2024. 2) 2023 federal return (safe-harbor test). 3) Broker year-end statements for both 1099-B accounts. 4) Plan correction notice or W-2c for Lisa's 401(k) excess. 5) Written acknowledgment from the Red Cross and church giving records. 6) Bexar County property tax statement. 7) Children's SSN cards and birth certificates. 8) Lisa's classroom receipts and a 900-hour verification from the school. 9) Confirmation of no foreign accounts. 10) Signed Form 8879 and both spouses' signatures on Form 1040, plus five-digit e-file PINs.

Prepared by: Mid-level Tax Preparer Reviewed by: _____ (Senior Accountant) Date: _____